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GOING CONCERN ASSESSMENT AND CASH FLOW FORECAST
Demo Company (AU) Pty Ltd

Prepared by: Alex Morgan, Director
Date: 16 October 2026

1. Purpose and period
This memo supports the directors' assessment that the Company can continue as a going concern. The forecast covers the 13 months from October 2026 to October 2027. The relevant period runs to about late October 2027, the expected date of the auditor's report for the year ending 30 September 2027.

2. Position at 30 September 2026

Business Bank Account (overdrawn)	(10,900.44)
Business Savings Account	11,581.23
Net cash	680.79
Overdraft limit	15,000.00
Unused overdraft at 30 September 2026	4,099.56

The Company made a loss for the period and its current liabilities exceed its current assets. Account 840 (AUD 19,212.21) is a loan from the director.

3. Receipts realised in October (bank statements 1-16 October 2026)

06 Oct	Rex Media Group	550.00
06 Oct	Yarra Transport	550.00
06 Oct	Port Phillip Freight	550.00
06 Oct	DIISR - Small Business Services	2,145.00
10 Oct	Ridgeway University	6,187.50
11 Oct	City Limousines	100.00
11 Oct	City Agency	105.60
12 Oct	Bank West	330.00
14 Oct	Hamilton Smith Pty	550.00
14 Oct	DIISR - Small Business Services	3,850.00
15 Oct	Boom FM	3,960.00
15 Oct	Boom FM	550.00
16 Oct	Petrie McLoud Watson & Associates	2,277.00
	Customer receipts	21,705.10
11 Oct	Jakaranda Maple Systems (deposit)	2,000.00
15 Oct	Majestic Contracting (sublease)	450.00
	Interest and other receipts	336.55
	Director deposits 12 and 15 October	2,500.00
	Total receipts 1-16 October	26,991.65
	Payments 1-16 October	14,318.72
	Net cash at 16 October 2026	13,353.72

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4. Monthly cash flow forecast (AUD)

Month	Receipts	Payments	Before fund	Director funding	Closing net cash	Available (incl. limit)	
Oct 2026	28,341.65	37,013.89	(7,991.45)	2,500.00	(5,491.45)	9,508.55	
Nov 2026	6,150.00	20,848.24	(20,189.69)	6,000.00	(14,189.69)	810.31	*
Dec 2026	19,450.00	18,681.25	(13,420.94)	0.00	(13,420.94)	1,579.06	
Jan 2027	9,000.00	23,901.25	(28,322.19)	14,000.00	(14,322.19)	677.81	*
Feb 2027	22,000.00	21,181.25	(13,503.44)	0.00	(13,503.44)	1,496.56	
Mar 2027	21,500.00	18,681.25	(10,684.69)	0.00	(10,684.69)	4,315.31	
Apr 2027	22,500.00	26,401.25	(14,585.94)	0.00	(14,585.94)	414.06	
May 2027	22,500.00	18,681.25	(10,767.19)	0.00	(10,767.19)	4,232.81	
Jun 2027	23,000.00	18,681.25	(6,448.44)	0.00	(6,448.44)	8,551.56	
Jul 2027	23,000.00	26,401.25	(9,849.69)	0.00	(9,849.69)	5,150.31	
Aug 2027	23,500.00	18,681.25	(5,030.94)	0.00	(5,030.94)	9,969.06	
Sep 2027	24,000.00	18,681.25	287.81	0.00	287.81	15,287.81	
Oct 2027	24,000.00	26,401.25	(2,113.44)	0.00	(2,113.44)	12,886.56	

Receipts exclude director funding. Available = closing net cash plus the overdraft limit of AUD 15,000. * The month needs director funding to stay within the overdraft limit. October 2026 combines the actual receipts and payments for 1-16 October with the forecast for 17-31 October.

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5. Main assumptions and obligations

- 28 October 2026: PAYG withholding of AUD 7,535.00 and GST of AUD 1,191.97 for July-September, and superannuation guarantee of AUD 4,261.20.
- 5 November 2026: laptop payable to PC Complete, AUD 2,166.99.
- Wages: about AUD 14,500 per month gross for 3 employees (paid fortnightly), including PAYG withheld. October also includes AUD 3,014.00 of PAYG withheld from the 11 and 25 October pay runs.
- Rent: AUD 1,181.25 per month including GST under the lease from 1 October 2026; sublease income AUD 450.00 per month from Majestic Contracting.
- Superannuation guarantee and GST are paid quarterly, by the 28th day of the month after each quarter (GST for October-December by 28 February); amounts are estimates.
- Receipts: monthly support fees of AUD 2,200 plus project and training work, rising from about AUD 3,500 in November 2026 to about AUD 21,350 in September 2027.

6. Funding gaps and director support

The forecast shows funding gaps in November 2026 and January 2027. The director will fund them (AUD 6,000 and AUD 14,000) under the letter of support dated 16 October 2026, which also defers repayment of the director loan of AUD 19,212.21. The overdraft is repayable on demand and is next reviewed by the bank on 31 March 2027.

7. Directors' conclusion

With the director's support, the directors expect the Company to pay its debts as and when they fall due for the relevant period, and the financial report is prepared on a going concern basis.

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Alex Morgan, Director